

Economic activity in the **manufacturing sector** contracted in January for the fourth consecutive month, while the overall economy grew for the 80th consecutive month, say the nation's supply executives in the latest **Manufacturing ISM® Report On Business®**.

The January PMI® registered 48.2 percent. The New Orders Index registered 51.5 percent, an increase of 2.7 percentage points from the seasonally adjusted reading of 48.8 percent in December. The Production Index registered 50.2 percent, 0.3 percentage point higher than the seasonally adjusted December reading of 49.9 percent. The Employment Index registered 45.9 percent, 2.1 percentage points below the seasonally adjusted December reading of 48 percent. Inventories of raw materials registered 43.5 percent, the same reading as in December. The Prices Index registered 33.5 percent, the same reading as in December, indicating lower raw materials prices for the 15th consecutive month. Comments from the panel indicate a mix ranging from strong to soft orders, as eight of our 18 industries report an increase in orders, and seven industries report a decrease in orders. Of the 18 manufacturing industries, eight are reporting growth in January in the following order: Textile Mills; Wood Products; Miscellaneous Manufacturing[‡]; Printing & Related Support Activities; Furniture & Related Products; Computer & Electronic Products; Machinery; and Electrical Equipment, Appliances & Components. **ISM**

PMI® at 48.2%

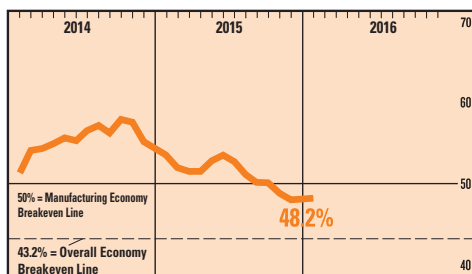
New Orders and Production Growing; Employment and Inventories Contracting; Supplier Deliveries Unchanged

Manufacturing at a Glance

INDEX	Jan Index	Dec Index	% Point Change	Direction	Rate of Change	Trend* (months)
PMI®	48.2	48.0	+0.2	Contracting	Slower	4
New Orders	51.5	48.8	+2.7	Growing	From Contracting	1
Production	50.2	49.9	+0.3	Growing	From Contracting	1
Employment	45.9	48.0	-2.1	Contracting	Faster	2
Supplier Deliveries	50.0	49.8	+0.2	Unchanged	From Slowing	1
Inventories	43.5	43.5	0.0	Contracting	Same	7
Customers' Inventories	51.5	51.5	0.0	Too High	Same	6
Prices	33.5	33.5	0.0	Decreasing	Same	15
Backlog of Orders	43.0	41.0	+2.0	Contracting	Slower	8
Exports	47.0	51.0	-4.0	Contracting	From Growing	1
Imports	51.0	45.5	+5.5	Growing	From Contracting	1
Overall Economy				Growing	Faster	80
Manufacturing Sector				Contracting	Slower	4

*Number of months moving in current direction.

Manufacturing ISM® Report On Business® data is seasonally adjusted for the New Orders, Production, Employment and Supplier Deliveries Indexes.



Manufacturing contracted in January as the PMI® registered 48.2 percent, an increase of 0.2 percentage point from the seasonally adjusted December reading of 48 percent, indicating contraction in manufacturing for the fourth consecutive month. A reading above 50 percent indicates that the manufacturing economy is generally expanding; below 50 percent indicates that it is generally contracting.

Indexes reflect newly released seasonal adjustment factors



Note: The number of consecutive months the commodity is listed is indicated after each item.

*Reported as both up and down in price.

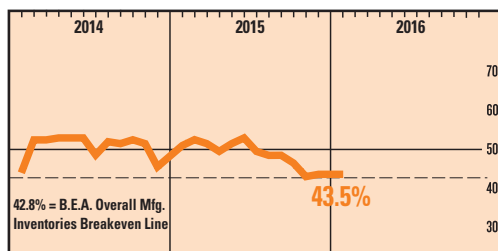
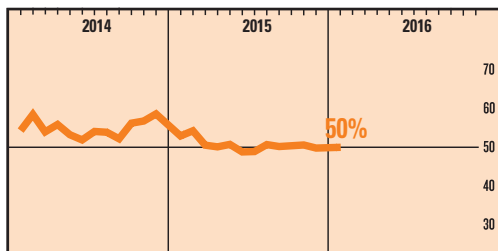
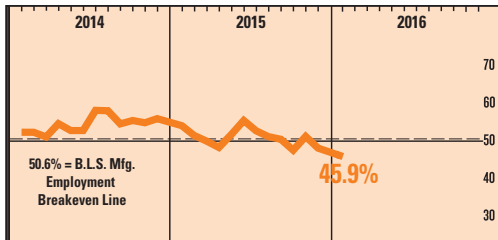
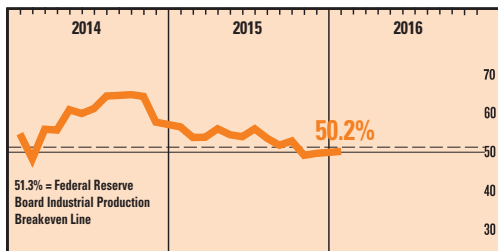
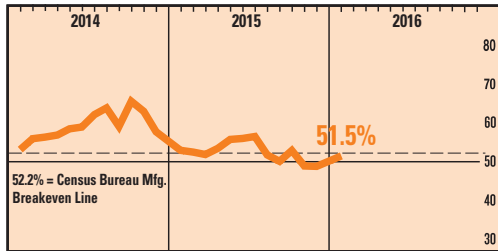
Commodities Reported

Commodities Up in Price: Natural Gas; and Steel*.

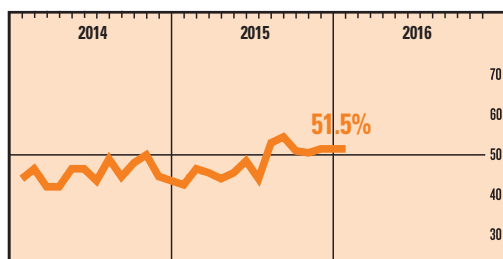
Commodities Down in Price: Aluminum (14); Copper (3); Crude Oil (2); Diesel (2); Gasoline (2); HDPE Resin (2); Nickel (7); Oil (2); Resin Based Products; Stainless Steel (15); Steel* (7); Steel – Cold Rolled (4); and Steel – Hot Rolled (4).

Commodities in Short Supply: None (3).

[‡]Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).

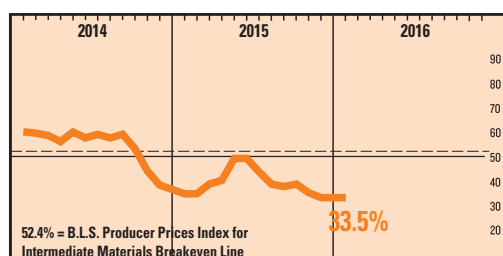


[‡]Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



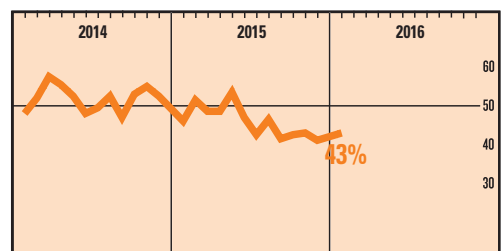
Customers' Inventories

ISM's Customers' Inventories Index registered 51.5 percent, the same reading as in December. The seven manufacturing industries reporting customers' inventories as being too high during the month of January — listed in order — are: Paper Products; Nonmetallic Mineral Products; Furniture & Related Products; Computer & Electronic Products; Chemical Products; Fabricated Metal Products; and Food, Beverage & Tobacco Products.



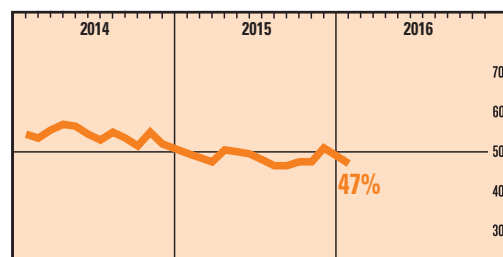
Prices

The ISM Prices Index registered 33.5 percent, the same reading as in December, indicating a decrease in raw materials prices for the 15th consecutive month. Of the 18 manufacturing industries, no industry reported paying increased prices for their raw materials in January.



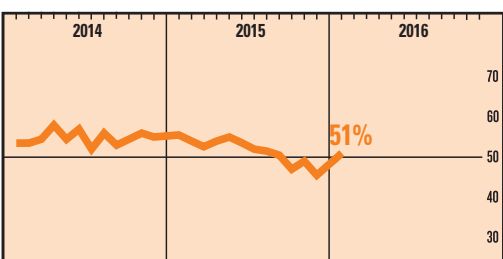
Backlog of Orders

ISM's Backlog of Orders Index registered 43 percent, an increase of 2 percentage points as compared to the December reading of 41 percent. The four industries reporting an increase in order backlogs in January are: Printing & Related Support Activities; Electrical Equipment, Appliances & Components; Furniture & Related Products; and Primary Metals.



New Export Orders

ISM's New Export Orders Index registered 47 percent, which is a decrease of 4 percentage points when compared to the December reading of 51 percent. The four industries reporting growth in new export orders in January are: Wood Products; Furniture & Related Products; Primary Metals; and Chemical Products.



Imports

ISM's Imports Index registered 51 percent, which is 5.5 percentage points higher than the 45.5 percent reported in December. The eight industries reporting growth in imports during the month of January — listed in order — are: Furniture & Related Products; Paper Products; Nonmetallic Mineral Products; Primary Metals; Computer & Electronic Products; Electrical Equipment, Appliances & Components; Machinery; and Transportation Equipment.

*Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).